

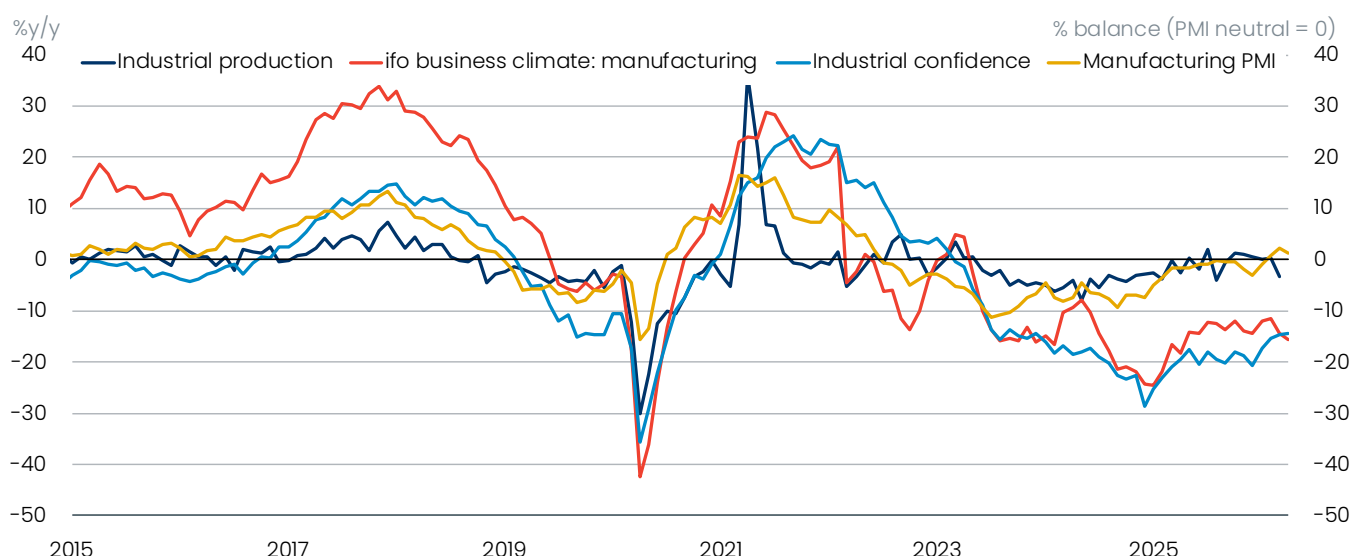
Industrial production data pours cold water on strong March orders

- German industrial production fell 0.7% m/m in March, confirming a Q1 contraction. The fall was broad-based across components despite a modest rise in construction output, reflecting a normalisation after harsh winter conditions. Today's print casts doubt on the strong preliminary German GDP print in Q1 and raises the risks of downward revisions.
- Trade data disappointed as well as the rise in exports was outpaced by surging energy-driven imports, dragging down the trade balance. However, this masks a more mixed underlying picture as intra-EU demand remained strong while US-bound exports collapsed.
- The data pour cold water on hopes of industry seeing a net boost from order frontloading ahead of higher prices and tighter supply chains. With output contracting over the course of Q1, and sentiment deteriorating, risks of a larger-than-expected Q2 GDP contraction are on the rise. We continue to expect that German industry will accelerate later this year as increased fiscal spending reaches a broader set of sectors and the energy surge eases.

German industrial production (including construction) fell 0.7% m/m in March, weighed down by machinery and energy output, while autos and construction provided partial offsets. February was revised down to -0.5% from the initially reported -0.3%. Manufacturing output declined 0.8% m/m due to a strong drop in the important capital goods sector while intermediate goods rose only modestly. Energy-intensive sectors bucked the trend, possibly reflecting frontloading ahead of tighter supply conditions. Overall, industry failed to recoup Q4 output at any point during the quarter, raising the odds of downward revisions to the strong preliminary Q1 GDP print.

Chart 1: Industrial production posted a broad-based fall in March

Germany: Industrial production and key surveys



Sources: Oxford Economics, Haver Analytics

Trade held up better than production. Q1 exports rose modestly on the year, driven by strong intra-EU demand. But exports to the US posted their steepest annual decline since June 2020 and shipments to China also fell sharply. The narrowing of the surplus was driven by the import side, where surging energy costs following the Iran war escalation inflated the bill, consistent with the sharp jump in import prices reported earlier. But even accounting for surging energy import prices, imports outpaced exports and the trade balance eased in real terms.

So, while [yesterday's rise in factory orders](#) suggests some order frontloading ahead of higher prices, rising input costs will squeeze margins and limit the scope for a production rebound. Moreover, it looks like any lift from frontloading has been offset by underlying weakness. We expect growth to accelerate later this year as the fiscal impulse strengthens, but the near-term outlook remains muted as inflation erodes real incomes and external demand softens. Recent [PMI readings](#) reflect the more benign situation in manufacturing benefitting from order frontloading while services start to feel the pain of higher inflation. Overall, we expect economic activity to be soft in Q2 as [sentiment](#) has deteriorated and inflationary pressures are building with GDP contracting moderately. Still, German industry is expected to benefit from the incoming fiscal stimulus later this year and gradually easing energy prices as supply from the Middle East becomes available again.